GOLDEN 高顿

E5
Group



Lecture example 1-Solution

Baey plc	£
Current period trading loss	20,300
Excess qualifying charitable donations 3,600 − 2,000 − 1,000	600
Total losses available for current period group relief	20,900
Ada plc	£
Property income	12,000
Chargeable gain	10,000
Total profit	22,000
Less: current period trading loss	(5,000)
Qualifying charitable donations	(3,000)
Available taxable total profits	14,000
Ada plc maximum group relief lower of 20,900 and 14,000	14,000

Lecture example 2 - Solution

Betty plc	£
Carried forward trading loss	210,000
Less: total profits 80,000 + 1,500 + 3,500	(85,000)
Total losses available for carry forward group relief	125,000
Amy plc	£
Trading income	68,000
Property income	4,000
Investment income	8,000
Total profit	80,000
Less: carried forward trading loss	(10,000)
Available taxable total profits	70,000
Amy plc maximum group relief lower of 125,000 and 70,000	70,000

Lecture example 3

In the year ended 31 March 2026, A Ltd holds 90% D Ltd. D Ltd prepares account to 31 December every year.

A Ltd acquired 85% of the share capital of C Ltd on 1 January 2026 from an unrelated party.

A Ltd holds 80% E Ltd. On 1 October 2025, A Ltd sold E Ltd to an unrelated party. It was agreed with HMRC that sufficient arrangements were in place for E Ltd to leave the A Ltd group on 1 November 2025.

C Ltd and E Ltd prepare account to 31 March every year.

Lecture example 3

The following results about these four companies:

			£
A Ltd	Year ended 2026.3.31	Total profit	85,000
		QCD	5,000
D Ltd	Year ended 2025.12.31	Trading income	20,000
		Property loss	50,000
C Ltd	Year ended 2026.3.31	Trading loss	105,000
		Investment income	5,000
E Ltd	Year ended 2026.3.31	Trading loss	75,000

Lecture example 3

(a) What is the maximum group relief claim possible by A Ltd in respect of D Ltd's property loss?

(b) What is the maximum group relief claim possible by A Ltd in respect of C Ltd's trading loss?

(c) What is the maximum group relief claim possible by A Ltd in respect of E Ltd's trading loss?

Lecture example 4 - Solution

The overall rate of tax will be less than 25% because of the marginal relief for the year ended 31 March 2024 and year ended 31 March 2025.

The loss relief claim to the year ended 31 March 2026 would save corporation tax at the rate of more than 25%.

The carry forward claim is therefore the most beneficial option.

Lecture example 4 - Solution

Year ending 31 March 2026	£
Total profits	310,000
Less trading loss carried forward	(130,000)
Taxable total profits	180,000
Tax at 25%	45,000
Less: marginal relief (250,000-180,000) × 3/200	(1,050)
Tax	43,950

Tax due without loss relief 310,000 × 25% = 77,500

Tax saved is £33,550 (77,500-43,950 = 33,550)

Lecture example 4 - Solution

Alternatively, this saving can be shown as：

	£
60,000 (310,000 – 250,000) at 25%	15,000
70,000 (130,000 – 60,000) at 26.5%	18,550
Tax saved	33,550

Lecture example 5 - Solution

	Tiger Ltd £	Rabbit Ltd £	Elephant Ltd £
Trading profit	0	350,000	52,000
Property business income	35,000		
Loss relief	(21,333)		
Group relief		(43,334)	(35,333)
Taxable total profits	13,667	306,666	16,667
Dividends	3,000	0	0
Augmented profits	16,667	306,666	16,667
Corporation tax at 19%	2,597		3,167
Corporation tax at 25%		76,667	

Lecture example 6 - Solution

(a) S&C Ltd: Building automatically transferred at no gain no loss.	£
Deemed proceeds	239,400
Less original cost	(140,000)
Indexation allowance 0.710× 140,000	(99,400)
Chargeable gain	0
Young Ltd has a base cost for the building of £239,400 for future disposal.	
(b) Sale to third party in December 2025	£
Proceeds	300,000
Less cost	(239,400)
Chargeable gain	60,600

Lecture example 7 - Solution

	£
Disposal proceeds	1,500,000
Less: cost	(600,000)
Indexation allowance 0.401×600,000	(240,600)
Gain	659,400
Less: rollover relief	(559,400)
Gain taxed now 1,500,000 - 1,400,000	100,000
Base cost 1,400,000 - 559,400	840,600

GOLDEN 高顿

谢谢观看

THANK FOR WATCHING